



CLOCKWORK

Design Your Business To Run Itself

MIKE MICHALOWICZ



The Big “So What”

Many entrepreneurs start out with a dream, but end up as slaves to their businesses. *This book provides the principles and tools to help you design businesses that run like clockwork, so you can achieve success and regain your freedom to enjoy a healthy work/life balance.*



Why Clockwork?



Many entrepreneurs are trapped in their businesses. They work long hours and even on vacations, are perpetually stressed and constantly think about work. They're short of both time and money, and dare not slow down lest the business collapses. Michalowicz's goal is to end entrepreneurial poverty. In his earlier book “Profit First”, he tackled the lack of money. In this book, he tackles the lack of time.



Clockwork is built on a core principle: Work smarter, not harder.

- Increasing productivity won't reduce your work hours. Parkinson's Law says that work will expand to fill available time. When you're more productive, you complete your tasks faster but keep adding more to your plate to fill the free time, resulting in a vicious cycle of greater productivity but more work.
- Regardless of your company size (be it 1 person or 100), organizational efficiency is about getting the most important work done with the least resources. It's *not* about doing more. Unfortunately, it's easier to keep doing more of

KEY QUOTES

“It's not about doing more with less. It's about doing less with less to achieve more.”

“I am committed to never again letting an entrepreneur live with lack: Lack of money. Lack of time. Lack of life.”

“The more money we have to spend, the more we spend. The more time we have, the more of it we spend working.”

“‘Work harder’ is the mantra of both the growing and collapsing business.”

what's familiar (even if it's unpleasant or unimpactful) than to do what's truly important (but new or unfamiliar).

- Stop trying to solve every problem yourself. Don't get caught in the "survival trap", where you drop everything each time a crisis surfaces—you may feel good about solving a problem, but the business actually goes off-track and suffers in the long run.
- To regain your freedom, **allocate less time for your business and force yourself to achieve more within that limited time.** That way, you can increase your impact and free up time for other life priorities.



The 4Ds and 7 Stages of a Clockwork Business



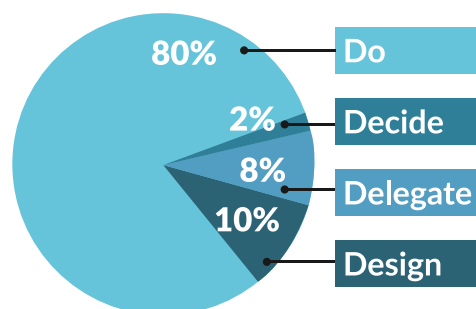
The 4Ds. There are 4 key sets of activities that any entrepreneur must perform:

- Doing: In the start-up phase, most entrepreneurs (especially solopreneurs) do everything themselves.
- Deciding: As the owner hires employees or contractors, he/she may assign tasks to others. However, the owner is still giving all the instructions and making all the decisions. Until employees are given the chance to make their own decisions and take responsibility for them, they can't truly learn.
- Delegating: The employees are now empowered to make decisions about the task and are fully accountable for the results. However, the owner must let go of the need for perfection or full control.
- Designing: By now, the business can run on its own, and you're focusing on improving the business flow instead of being stuck in the daily grind. This is when you're truly free to enjoy your business and build your dreams.



The ideal 4D mix is:

- 80% doing
- 2% making decision for others



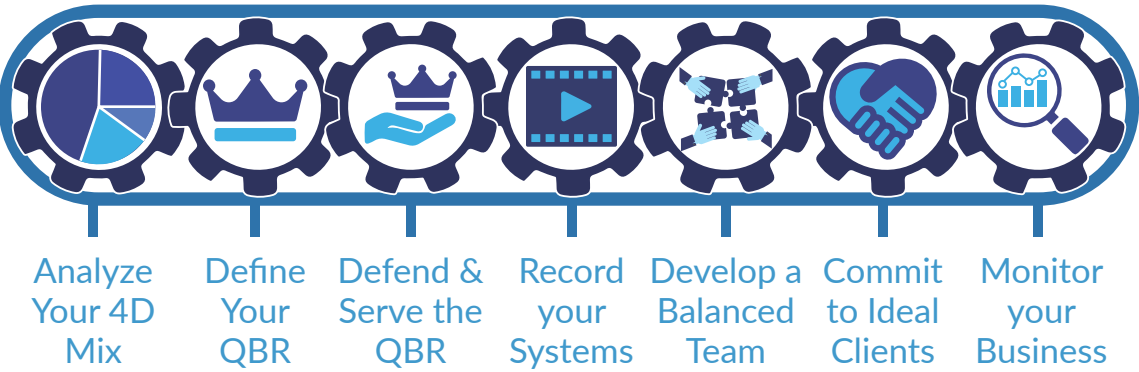
KEY QUOTES

"Life is about impact, not hours."

"Organizational efficiency is when all the gears of your business mesh together in harmony...It is about managing resources so that the important work gets done, instead of always rushing."

- 8% delegating outcomes
- 10% designing

 Most entrepreneurs spend too much time Doing and not enough time Designing their business. You can progressively shift to the ideal 4D mix and build a Clockwork business in 7 stages.



 Before you begin, commit to the process. Make yourself accountable to someone, e.g. send an email to a colleague/friend to outline your commitment to redesign your business.

Implementing The 7 Stages of Clockwork

1. Analyze Your 4D Mix

 Analyze your company's 4D mix, starting with your own 4D mix.

- Fill in the Time Analysis Worksheet below for the last 5 days you worked, or start tracking your next 5 days of work.

TIME ANALYSIS WORKSHEET					
DATE	ACTIVITY	START	FINISH	TIME SPENT	WORK TYPE
					Do/Decide/Delegate/Design
					Do/Decide/Delegate/Design
					Do/Decide/Delegate/Design
					Do/Decide/Delegate/Design
					Do/Decide/Delegate/Design
TOTAL TIME: Doing _____ Deciding _____ Delegating _____ Designing _____					

KEY QUOTES

“Trying to build a business by just Doing and without Designing is like walking through a dense forest while blindfolded.”

- Add up the total time spent on each of the 4Ds and calculate the % of time spent on each component.
- Find the 4D mix for your company, i.e. the aggregate of all employees' 4D mix. If you have a large company, develop charts to show the 4D mix for different departments.
- Compare your existing and ideal 4D mix to identify the gaps. For example, if your company's mix for Doing, Deciding, Delegating and Designing is 55/30/0/15 (vs the optimal mix of 80/2/8/10), too much time is spent directing people when it should be used to get things done or train people to make their own decisions.

Key Action(s)

- Set aside just **1% of your work time** to start designing your business.
- **Commit weekly time** in your calendar for the next 18 months. Choose a slot at the *start* of the week while your mind is fresh.



2. Define Your Organization's Queen Bee Role



Every bee colony has a queen bee, whose primary role is to lay eggs. Without this Queen Bee Role (QBR), the colony can't thrive and grow. Hence, every bee's top priority is to protect and serve the queen bee so she can focus on performing the role. Only when the Queen Bee is properly performing her role do the bees go about doing their Primary Job. **Your organization's QBR is the key function that your business success hinges upon.**



Use the Sticky Note Method to define your company's QBR. Do this with your team (or on your own if you're a solopreneur).

- Prepare at least 6 sticky notes per person. Everyone writes down his/her 6 most important tasks and the estimated time spent on each. Use 1 note per task (e.g. sales, communication).
- Next, each person removes the 2 least important tasks, i.e. pretend they can't do the tasks *at all* in future.

KEY QUOTES

"When your desired outcome is also their desired outcome, you are better able to let go and let your team do their jobs."

"A clockwork business is a business that delivers consistent results, including growth goals, without your active involvement."

Put away the 2 notes, explain why the 4 remaining tasks are more crucial, and how they'd elevate those tasks to cover the loss of the other 2.

- Remove 1 more task and repeat the justification process. Keep going until each person is left with only 1 most crucial task—this is the Primary Job which is second only to the QBR. Use the discussions to align what you and your employees think the Primary Jobs should be.
- If you're a solopreneur, your Primary Job is the QBR. If you have a team, collect all the notes with the Primary Jobs and repeat the process to distill the company's QBR. **Different employees may have the same Primary Job, but there should only be 1 overarching QBR for the company.** Ask yourself: does the success of your business truly rely on that *one role*? For example, the Savannah Bananas baseball team's QBR isn't to play extraordinary baseball; it's to provide the crowd with "extraordinary entertainment". Such clarity helps every person on the team to focus on entertaining the crowd before they move on to their Primary Jobs.

Key Action(s)

Use the Sticky Note Method to identify your company's QBR. Announce it to the entire organization.



3. Defend and Support the Queen Bee Role



Once you've identified your QBR, every person on the team must protect and serve the QBR as a top priority.

- Support people who're performing the QBR so they can give it their full attention. Once the QBR is properly served, things will fall in place and people can return to their own Primary Roles.
- In a hospital emergency room (ER), the QBR is to accurately diagnose the medical issue and define the right course of action. This QBR is literally a matter of life and death, and every ER staff and system must protect the doctors' ability to perform that role. For example, doctors shouldn't have

KEY QUOTES

"If you don't pick the one thing, you will continue to dilute your business's uniqueness and cripple its ability to run on automatic."

"The QBR is never a person, or machine, for that matter. It is always a role, a function, or a task."

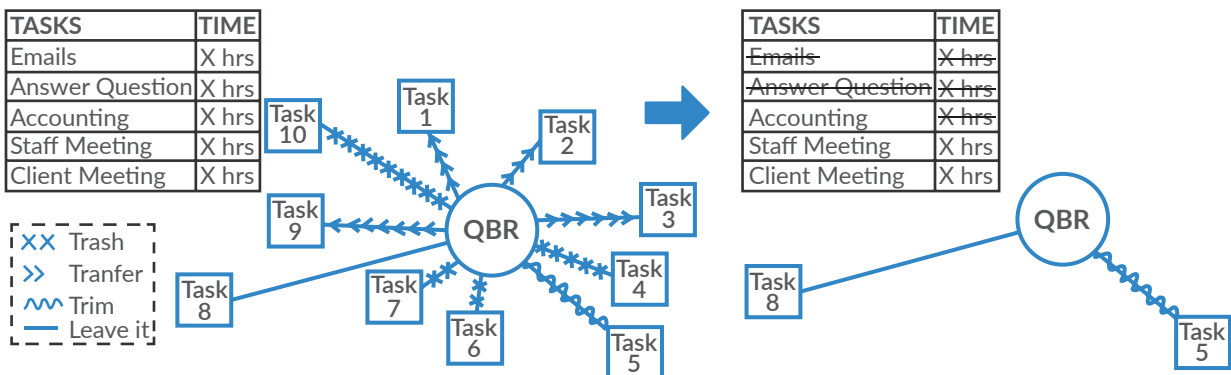
"The QBR is the linchpin to a business designed to run itself."

"Protect and serve the QBR as though your life depends on it, and your business becomes the 'must go there' for customers."

to handle admin tasks when there're ER patients waiting to be diagnosed.

❖ Use the Hub and Spoke Exercise to see how far you (and your team) are focusing on the QBR, Primary Job vs other distractions.

- Create a hub and spoke diagram. Draw your QBR, add the other 5 key tasks (from the Sticky Note exercise) in boxes around the QBR, and connect them with spokes. The length of each spoke should be proportionate to the time spent on the task.
- Create a table of up to 10 additional tasks with the time spent on each (refer to your earlier Time Analysis).
- The diagram and table will jointly give you a visual representation of the tasks keeping you from your QBR.
“Trash, Transfer and Trim” the items, starting with those with the longest spokes and work your way inward to the QBR.
 - (i) Cross out non-essential items that you can *thrash*, e.g. create an FAQ so you can stop replying to every question.
 - (ii) Draw arrows for less-skilled tasks that you can *transfer* or delegate. If you have no one to delegate to, consider hiring an intern or freelancer to perform and trim the task.
 - (iii) Draw a squiggly line on tasks that can be *trimmed*, i.e. things that only you can do but may be made more efficient.
 - (iv) Darken the lines for items that you must *continue* to do in the near future, e.g. due to contractual obligations.



KEY QUOTES

“Transfer work down to the most inexpensive resources and empower the new owner(s) of the task to achieve the intended outcome more efficiently.”

“The goal is to have a few expensive skilled team members at your business, focused almost exclusively on doing the skilled work, and transferring all the other necessary, but easy, repeating tasks down the skill chain.”

- Any time saved must be redirected to the QBR. Do the exercise yourself then for your entire company. Keep repeating the process so everyone is progressively maximizing their time on the QBR.
- If you're currently the only one serving the QBR, you can:
 - (i) Get others to serve the QBR, by engaging your team in discussions on how best to protect/serve the QBR; or
 - (ii) Choose to keep serving the QBR personally because you enjoy it (knowing that the business will still rely on you).

Key Action(s)

- Use the Hub and Spoke exercise to progressively remove distractions and increase focus on the QBR.
- Decide if you want to serve the QBR or have others do it for you.



4. Record your Systems



The QBR (and its related tasks) must be delivered consistently.

- Companies often use Standard Operating Procedures (SOPs). This involves a laborious process of identifying your goals, breaking down the steps, documenting and updating them, yet people don't always follow the SOPs.
- Well, there's a simpler way. In reality, you *already* have a set of processes in your head that you currently use. All you need to do is to capture it: record a video of the task being performed and make it available as a training video.
- Even if you're a startup with no established systems, you can find existing systems on Youtube, then adapt them for your business.



To record your systems:

- Start by identifying the processes and approach involved, including (i) verbal/written communication, (ii) physical action and/or (iii) interaction with something (e.g. a

KEY QUOTES

"When you serve the QBR you are the heart of the organization. When you choose to have others serve the QBR, you become the soul of the organization."

"Waste of materials, waste of money, and waste of time are the bane of every business and must be addressed constantly."

"The systems have already been created. Your job is to capture what is in your head, or to use what other people have already captured from their heads."

"The goal is not to create systems; the goal is to capture systems—and do it easily."

computer or cash register). Every business activity can be captured under one of these 4 categories of the ACDC model: Attract, Convert, Deliver and Collect.



- Create a directory titled “Systems”, with 4 folders for the 4 categories above. Make this accessible to your team. Capture each activity in a video, label it clearly and file it in the right folder.
- You can now delegate the task. If an employee has a question, guide him then get him to improve the existing video, so you create a learning cycle where the student becomes the teacher.
- Have only 1 person accountable for each outcome, determine how to measure the system’s success and who to report it to.
- You can also use the Traffic Light System to help team members to prioritize tasks with labels: red (urgent), green (not urgent), and yellow (in between).



To free yourself from the QBR, you need to delegate properly.

- This is actually an educational process that happens in stages. Initially, you assign the tasks (but still make the decisions). Then you offer up the decision-making responsibility (but still own the results). Eventually, the employee is responsible for setting *and* achieving the outcomes. If your team isn’t doing what you want, it means you need to give more detailed guidance.
- Get your employees to interview you and record the processes, so they can extract the details needed to perform the tasks ideally.
- Once you’ve delegated a task, don’t intervene whenever a staff asks for direction. Instead, ask questions like, “What do you think is the best approach?” Even if you

KEY QUOTES

“Always have one person accountable to the outcome... That way, you know who to talk to when there are problems in need of a solution.”

“We get upset that ‘they can’t do what I want,’ but that’s because we haven’t told them what we want.”

“Stop training your employees to be idle by deciding for them. Have them move your business forward by empowering them to make decisions.”

disagree with their solution, let them proceed unless there'll be dire consequences. Only do a debrief after they've executed the decision.

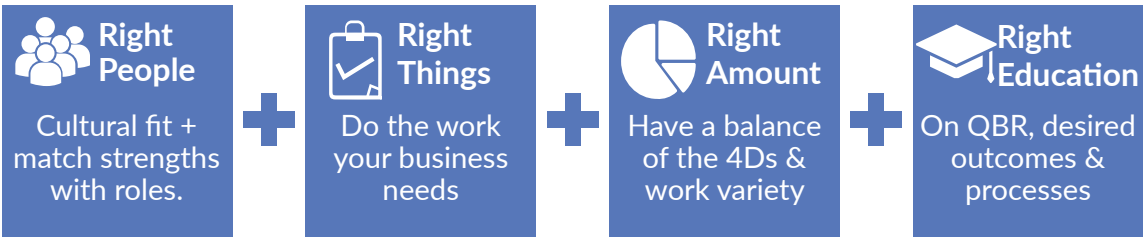
Key Action(s)

Start by capturing just 1 system: Record it, delegate the task and let the person continue the cycle of teaching and refinement.



5. Develop a Balanced Team

Everyone has strengths and weaknesses. Focus on what you thrive on, and delegate other tasks to people who can do them much better. Your income may dip temporarily when you hire someone, but the right hires should deliver results within a year and gradually free you up to focus on what you do best and love most. Build a balanced team with complementary skills. The key is to “have the right people, do the right things, in the right portions, right”.



 Hire the Right People. You need a team for your company to run without you. Hire the right people with the cultural fit, then put them in the right roles that match their strengths/passions.

- When to hire: It's never too early to start hiring; the challenge is finding the *right person* for your business at any point in time. Even if you can't afford a full-time employee, you can find a part-timer who can relieve you of some of your workload.
- Who to hire:
 - (i) Hire for *personal traits* like attitude, passion, strengths and cultural fit. Don't hire for skills—skills can be taught, but the other elements can't.
 - (ii) Don't hire people who're just like you. Go for *diversity and the required complementary strengths*, e.g. do you need someone analytical or creative, detailed or strategic?

KEY QUOTES

“You want to hire people with a great get-it-done attitude, high energy, and high intelligence, people who are a strong cultural fit and who have a desire to do the work you need done.”

“Have the right people, do the right things, in the right portions, right.”

“Hire diversity. Don't hire people you like; hire people you respect.”

- In your job ads, describe your culture and job role, with an instruction toward the end e.g. use “This is my dream job!” as the application email title. This will weed out job spammers who apply without reading the job details.
- Build trust gradually: start the new hires with small tasks, then gradually increase their responsibilities until they can operate independently.
- The right people will resonate with your mission and see themselves as an integral part of your company. Align your team by sharing and telling stories about your mission.



Put people in the right role. Do away with the traditional hierarchy and focus on placing the right people for each role.

- Do the Job Traits Analysis: List down the jobs/tasks for each position, identify the core traits needed to excel in the role, the level of impact on the company, and the current vs ideal person for the role.

JOB TRAITS ANALYSIS				
JOB/TASK	TRAITS TO EXCEL	IMPORTANCE (QBR/ High/ Med/ Low)	CURRENT person serving the job	BEST person for the job

- Do the Time Analysis for your team to determine individuals’ 4D time allocation and the team average. Work toward the ideal 4D mix of 80/2/8/10, focus on QBR, leverage strengths for each employee, and have the entire company Trash, Transfer and Trim. These jointly ensure that everyone is progressively focusing on the highest value tasks while retaining a company-wide balance.

Key Action(s)

- Each week, focus on 1 exercise in this step so you’ll progressively put the right people on the right jobs, with the right 4D balance.
- Define the traits for your 10 most important daily tasks, and match them with the employees with those traits.

KEY QUOTES

“Purpose is the intersection of something that gives you joy and has a positive impact on others.”

“Instead of a traditional topdown organization chart, an optimized company is more like a web. You never restrict employees to one job function.”

“Your goal: Match people’s best traits to the jobs and tasks that need those traits.”



6. Commit to your Ideal Customers



Clarify who your top/ideal clients are and commit to them so you have a singular focus for your QBR. **The end-goal is to have a simple company mantra: “Our commitment is to serve [Whom] by [How].”**

- The more variables you have, the harder it is to deliver a consistent outcome. By focusing on 1 specific group of people, you reduce the # variables to deliver your QBR predictably.
- Beware of focusing so much on customer needs that your business no longer reflects *your* goals and passions. Instead of pivoting your business to suit what customers want, align what you want with what the customers want.
- Once you know your target audience, you can duplicate them. Companies often define target customers by psychographics, then realize they don't know how to reach those customers. It's more useful to identify target customers by congregation points, i.e. physical or virtual spaces where like-minded communities meet regularly, e.g. a book club or farmer's association. Get access to the communities and show that you can address their needs and wants.



Clarify your top clients (“whom”) using the Crush/Cringe Analysis:

CRUSH/CRINGE ANALYSIS			
Customer	Crush/Cringe	Community	Congregation Points

- List your existing customers in order of revenue (most to least). Indicate if you love them (crush), hate them (cringe) or a mix of both (crunge).
- List the communities they belong to (e.g. industry, consumer groups) and their congregation points (e.g. trade associations, Facebook groups).
- Note: The crush/cringe label does *not* reflect market viability since there're good/bad customers in all segments.

KEY QUOTES

“Know your QBR first. That is your and your company's heart. Then know the whom. And pair it with the how.”

“Don't pivot to the customers' desires. Instead, align your desires with the customers who want it.”

“The Commitment concentrates the awesome energy of the QBR in a way that will ignite your business efficiency (and growth) like never before.”

The goal is to help you to focus narrowly on a niche then broaden it. Focus on segments with (i) active communities and (ii) multiple congregation points that you have access to.



To serve your ideal customers (“how”), start with a small niche that you serve really well. Then, expand to new markets as you continually deliver your QBR and improve your solution. For example, UGG started with boots that kept surfers’ feet warm and dry; over time they expanded their range/reach, and now offer a variety of footwear globally.

Key Action(s)

- Develop your company mantra by defining your commitment of “Whom” and “How”. Place it somewhere visible.
- Assess if your team has the traits needed to serve this niche. If not, rebalance and restructure your team accordingly



7. Monitor Your Business



Set up your business such that you can monitor it at a strategic level. To do that, you need metrics that give you a good overview of the business. It’s like how the car dashboard shows you all the critical indicators (e.g. speed, petrol level, engine temperature) so you can see at a glance if everything is going smoothly or if something needs attention.

- With the right indicators, you can manage your business with just a few hours a week, like how a master chess player moves the pieces on a chess board. Your goal is to identify bottlenecks to business productivity, and remove them one by one, starting with the weakest link.
- A metric must be measurable and comparable (e.g. a number, a binary “yes/no”). Identify 5-8 key metrics that’d give a good overview of your business. Make sure you include:
 - (i) ≥ 1 metric for each of the 4 ACDC categories, e.g. # people visiting your store (Attract), # of customers (Convert), # positive reviews (Deliver), % customers who pay (Collect)
 - (ii) ≥ 1 metric for your QBR. Since the QBR is unique to each company, you must choose the metric carefully.

KEY QUOTES

“If you want big success, you need to first focus on a small community, and then empower that community to carry you to bigger markets.”

“The goal of metrics is to measure the effectiveness of your company, and likely areas to find bottlenecks.”

For example, Profit First’s QBR is to spread the word on Profit First, and they measure this via the number of presentations being made (including live events, podcasts etc).

- Any metric that’s higher or lower than expected should be investigated. To identify the root cause, test 1 variable at a time and record the results. Do *not* test multiple variables concurrently as they may influence one another to mask the real issue. However, you can do multiple tests if the outcomes are clearly independent.



When you successfully serve your QBR, you may find yourself struggling to cope with the growth in demand. For example, an explosion in new leads can create a conversion bottleneck. If you need \$1mil sales this year (50 clients x \$20k each) to achieve your long-term goals, then you can ease the conversion load by creating an automated process to filter out customers with >\$15-20k budget for follow up.

Key Action(s)

Take 20 minutes to determine the core metrics for your business. You can also get professional advice from RunLikeClockWork.com.



Building your Clockwork Business



Building a Clockwork business takes time and effort, and you’ll definitely experience resistance to change at various levels:

- Self: As your business starts to run without you, you may feel redundant and unappreciated. Resist the temptation to reinsert yourself in the business and start Doing things. Stay focused on the hardest work: to think deeply and Design the business.
- Partners and stakeholders: Your business partners, employees, vendors and other stakeholders are likely to push back. They may argue that you aren’t doing enough, or question the changes out of insecurity. Generally, partners are the hardest stakeholders to manage—help everyone

KEY QUOTES

“Yes, change is hard. It is also going to get you what you want: a business that runs itself.”

“Instead of doing the work, you need to be thinking about the work, and who you can get to do it.”

on the executive team to understand the value of creating a Clockwork company and why you must shift from Doing to Designing. Set aside time to communicate your plans and goals, gather feedback, address concerns and help people to understand what to expect and where they'll fit in.

 The final step is to take a four-week vacation, during which you disconnect from the business and let it run by itself.

- A 4-week period is typically long enough to complete a business work cycle. If your business can survive without you for 4 weeks, it can probably continue to run on its own.
- In the book, Michalowicz details an 18 month plan to help you work toward that 4-week holiday. Here's a brief outline:

18 Mths	16 Mths	14 Mths	12 Mths	10 Mths	8 Mths	6 Mths
Block the dates & announce the vacation	Complete your Time Analysis	Start educating the team on Clockwork	Work with the team to Trash, Trim & Transfer the work. Book your vacation.	Spend <80% of your time on Doing	Spend <40% time on Doing. Assess & plan for team growth.	Take a 1-wk holiday. Disconnect from office. Do a debrief upon return.
Upon Return	Holiday	1 Day	1 Wk	1 Mth	2 Mths	4 Mths
Debrief areas to improve. Plan for next 4-wk holiday 12 mths later	Disconnect from office but write down any ideas or inspiration	Contact your accountability partner: your commitment is fulfilled	Take a vacation in office. Design only	Observe the business from the outside.	Disconnect totally with 0% Doing & 99% Designing.	Repeat testruns with 2x 1-wk holidays.

Key Action(s)

- Engage people in open conversations about the company's direction and address their concerns on the transition.
- Start working toward your 4-week holiday 18-24 months later.

 Other Details in the Book to Look out For

This is a detailed guidebook with many case studies of the various Clockwork concepts at work, including examples of real-life entrepreneurs who have used the principles in their businesses. Michalowicz ends with a detailed 18-month plan to help you roll out the 7 steps. For more details, and resources, please visit RunLikeClockWork.com.

KEY QUOTES

“Clockwork is not a system for you. It is a system for your entire company. Everyone needs to know it. Everyone needs to be on the same page.”

“That is the power of Clockwork. You aren’t forced to leave your business; you are freed to leave.”

“No matter what you have or don’t have; no matter what challenges you face and what mistakes you’ve made; no matter what, you can grow a profitable business that runs itself.”